Q1 2026 Yield Curve Review

Regime Signals, Drivers, and Market Implications

Executive summary. The U.S. Treasury curve in Q1 2026 moved from a localized front-end distortion to a cleaner upward-sloping structure. Long-end spreads stayed positive throughout the quarter, while the 2Y-3M spread rose by about 35 bps and flipped from negative to positive. PCA results show that the quarter was driven primarily by broad rate repricing (Level ~81%) and secondarily by slope normalization (~16%), with limited curvature effects.

Key Moves

Metric	Q1 Move	Read-through
2Y-3M	+35 bps	Front-end inversion fully reversed
10Y-3M	+20 bps	Long-end slope strengthened
10Y-2Y	-15 bps	Intermediate-long spread narrowed but stayed positive
PCA Level	~81%	Dominant driver of curve movement
PCA Slope	~16%	Normalization / steepening dynamics

Interpretation

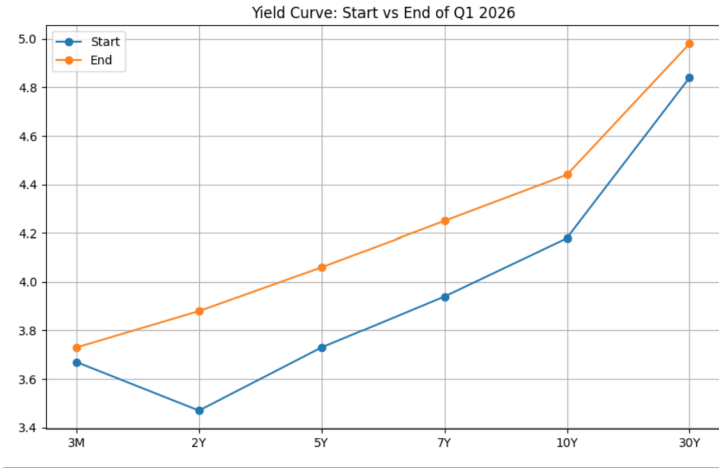
- The curve was **not structurally inverted**; the dislocation was localized at the front end early in the quarter.
- A persistent positive 10Y-2Y and 10Y-3M profile suggests the broader term structure remained intact even while short-end policy expectations looked restrictive.
- The reversal of the 2Y-3M spread from negative to positive points to a **realignment of short-term rate expectations** with the rest of the curve.
- PCA reinforces the same story: broad repricing mattered most, while slope changes captured front-end normalization and steepening.

Taken together, Q1 2026 reads less like a classic recessionary inversion episode and more like a **normalization regime** in which early front-end tightness faded into a more coherent upward-sloping yield curve.

Visual Evidence

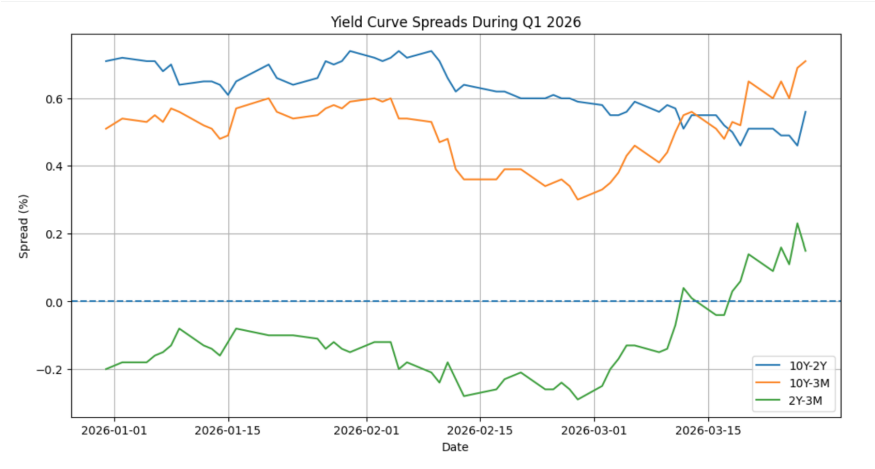
The charts below summarize the quarter's shape shift, spread behavior, and factor decomposition.

Chart 1. Yield Curve Snapshot



The Treasury curve shifted upward across maturities over Q1, while the mild front-end inversion visible at the start of the quarter disappeared by quarter-end.

Chart 2. Spread Dynamics

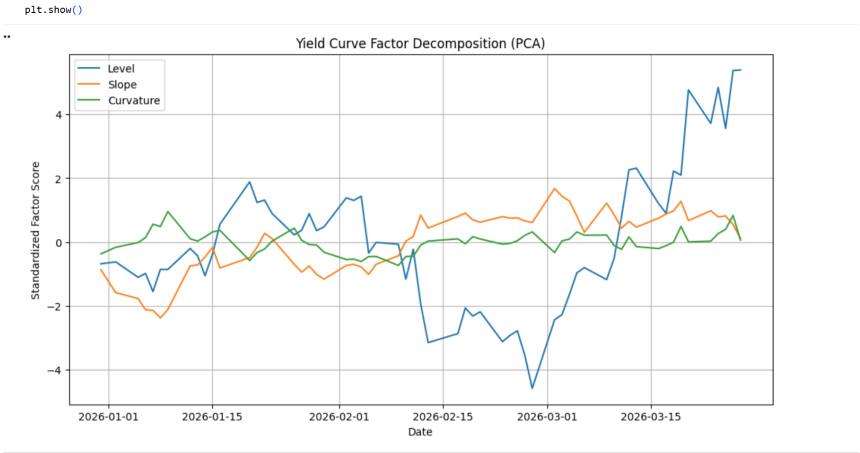


Long-end spreads remained positive throughout the quarter, while the 2Y-3M spread moved from negative to positive, confirming front-end normalization.

Factor Decomposition

PCA provides a compact view of how the curve moved over time and which dimensions mattered most.

Chart 3. PCA Yield Curve Factors



Level was the dominant factor in Q1 2026, while slope captured the quarter's front-end normalization and curvature remained comparatively muted.

PCA Summary

Factor	Variance Explained	Interpretation
Level (PC1)	80.9%	Broad repricing across maturities
Slope (PC2)	16.3%	Front-end vs long-end re-alignment
Curvature (PC3)	1.9%	Limited belly-specific distortion

Bottom Line

Q1 2026 can be characterized as a period of **yield curve normalization**: broad rate levels moved higher, the front-end inversion fully reversed, and the curve finished the quarter in a cleaner upward-sloping configuration. For interviews and market commentary, the most concise framing is that the quarter reflected **broad repricing plus front-end alignment**, not persistent inversion.

Source data and analysis prepared from the user's Colab notebook and Python workflow.